

create such an extraordinary system for holding onto old wealth and for building new wealth that even ordinary people can keep it going.

Ours is a perpetual trust with no built-in disbursements. Beneficiaries don't receive any money at a certain age.

The purpose of our trust is to:

- Give support for family members starting new careers.
- Fund family member educations.
- Help support family members in the arts or humanitarian work.
- Fund family member business ventures and start-ups.
- Assist in emergencies.

In return for these benefits, beneficiaries have the following responsibilities:

- Helping guide the investments in the family portfolio as a member of the investment committee.
- Participating as a member of the Family Council.
- Helping manage the family property.
- Helping protect and grow the family business grow in a manner consistent with family values.
- Helping manage any family philanthropy.

Family members have to earn their way as beneficiaries. And they have to make their own way in life and in their careers—just like everyone else. Different family members will play greater or lesser roles in each of these things, depending on their inclinations and abilities. And these responsibilities will become more significant and complex down the road.

We think the endowment model is the best structure for our family. The perpetual trust protects our wealth from taxes and legal threats. But, more important, it emphasizes self-reliance and individual achievement, while at the same time providing support for family member ventures. We want to be a family of producers, not consumers.

But we're still a young family. Only one member of the second generation is married with a family of his own. Most members of the second generation are just starting their careers. They don't yet have the pressures of supporting a family and of competing in the business world. Those things will put more pressure on the family office. We have a long way to go, with many challenges ahead.